There is no good economic reason to keep petroleum products out of GST. Petroleum products, electricity and alcohol are also commodities like other commodities. Alcohol may have an element of sin tax, but so do cigarettes. The only reason why petroleum products are outside the GST system is the vested interest of the Central government and states to protect the excessively high revenues they get from the VAT/excise/cesses collected from their sale. Likewise, keeping electricity out of GST only serves to complicate the system of commodity and service taxation and give undue leverage to states to manipulate revenues from electricity duty.

All these products should be brought under the GST system. To ensure that the legitimate interests of the Centre and states in collecting high but reasonable taxes from these products are protected to a reasonable extent, the following proposals might strike the right balance:

First, take the base cost of $60 per barrel as the reference price for calculating what the Centre and states would collect at the existing rates of taxation. This should be the targeted revenue from the reformed system of taxation. Thereafter, applying the GST rate of 28 per cent (20 per cent in case the rates are reformed), the revenues that will flow to the Centre and states can be worked out. Finally, the remaining incidence of tax can be collected by way of fixed rate of excise duties.

The excise duties so collected should be divided between the Centre and states as per the share of tax determined by the Finance Commission. This reform will address the issue of volatility in crude oil prices. If crude goes beyond $60 a barrel, the GST tax incidence would increase only to the extent of the price increase in crude price. Similarly, in downward revision, the tax incidence would fall proportionally. The tax revenues of the Centre and states would remain unaffected to the extent of fixed rate excise duties.

Second, excise revenues on alcohol for human consumption accrues entirely to the states and they have different policies for levying excise